

The Taxlane Result: Evidence-Gated Spending and an Adaptive Revenue Recommendation

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Abstract

Taxlane completed a repository-contained fiscal analysis across fifteen tracks [NUM-01]. It admitted no FY2026 primary spending reduction from the candidates tested [NUM-03], preserved separate treatment for dedicated Social Security finance, payment integrity, and net interest, and retained a frozen \$813.727 billion FY2026 [NUM-04] ordinary-income rate-model target. A fourteen-schedule grid with three taxable- income response cases per schedule [NUM-05, NUM-06] selected marginal model bracket rates of 21/23/33/35/43/46/48 percent [NUM-08] as Taxlane’s preferred central recommendation. These are marginal rates—rates applied only to taxable income within each bracket, not one person’s effective rate. This paper explains the result, the decision rule that produced it, and its limits. It is an internal model result, not current law, an official score, personal tax advice, or proof of formal balance.

Evidence keys route to docs/explanation/foundation/number-ledger.md and claim-ledger.md. The \$813.727B object is a one-year ordinary-income model target, not total receipts, total outlays, a trust-fund requirement, total deficits/debt, or formal balance [CLM-11, CLM-12].

1. Research question

Fiscal plans often allow an estimated spending reduction to lower a revenue target before the proposal’s scope, timing, implementation, interactions, and service consequences are reconciled. Taxlane asks the prior question: which effects are supported strongly enough to enter the accounting?

The inquiry is not simply “what could be cut?” It is “what public purposes and legal commitments are involved, which financing rail applies, what happens to people and services, and what amount survives all relevant gates?” Only after that decision does Taxlane model the remaining ordinary-income financing.

2. Fifteen tracks and one evidence rule

The tracks cover transportation, health, education, Social Security, income security, veterans, agriculture, defense, disaster resilience, justice, science and energy, international affairs, payment integrity, revenue, and net interest. They are analytical lanes, not literal departments or destinations for one taxpayer’s dollars.

They also preserve different civic objects: public goods, transfers, administration/enforcement, insurance-like commitments, and debt service do not share one beneficiary or success measure.

Each candidate must establish source custody, year and current-law fit, execution, accounting, interaction, distribution, administration, and applicable service/outcome floors. A result can be terminal without producing a positive saving. Under current evidence, ten tracks [NUM-02] end at reviewed zero admission. Transportation retains a conditional cost note. Social Security remains a dedicated-solvency overlay. Payment integrity is non-additive. Revenue carries the internal recommendation. Net interest remains endogenous.

3. The spending result

Taxlane's targeted final test examined an off-campus hospital imaging site- neutral option and a proportional active-force defense strategy. Their published headline FY2026 contexts were \$0.4 billion and \$15.0 billion [NUM-16, NUM-17]. Each had one ready gate and six blocked gates [NUM-18]. The health candidate lacked complete beneficiary, access, rural, quality, behavioral, implementation, and current-law overlap support. The defense candidate lacked a current force/program allocation, readiness stress test, transition cost, procurement schedule, allied-posture plan, and current-law rescore.

Neither headline amount entered the package. This is not a finding that the programs are optimal or the candidates are permanently invalid. It is a decision not to finance a rate reduction with effects that the record cannot yet support.

4. Accounting before arithmetic

Three boundaries prevent attractive quantities from being counted twice or in the wrong rail.

First, Social Security's payroll and trust-fund analysis does not become an ordinary-income spending reduction. Second, payment-integrity measures do not become additive savings until a program owner has a realized, net, scored effect with appeals, burden, implementation, and distribution treated. Third, net interest is derived from admitted upstream borrowing paths rather than declared as a direct cut.

With those boundaries and zero admitted primary reduction, Taxlane retained its \$813.727 billion target [NUM-04]. That figure is not total federal receipts, total outlays, an official requirement, or a literal allocation. It belongs to the frozen FY2026 ordinary-income model rail.

5. The adaptive-rate result

The rate experiment used Tax-Calculator 6.5.1 and its bundled CPS tax-unit file for tax year 2026. Fourteen uniform-uplift schedules were evaluated under three taxable-income response assumptions, creating forty-two behavior cases [NUM-05, NUM-06]. The central case also subtracts a \$0.077 billion administration ceiling [NUM-10].

The preferred 11.0-point uplift [NUM-07] produces marginal model bracket rates of 21/23/33/35/43/46/48 percent [NUM-08] and a central first-year cash proxy of \$819.220 billion [NUM-09]. Its stated central gap after the administration and debt sensitivity is \$5.416 billion [NUM-11]. Taxlane selected it as the smallest tested one-decimal uplift that clears the frozen central case.

The 12.0-point uplift—22/24/34/36/44/47/49 [NUM-12, NUM-13]—is the smallest tested schedule covering all three taxable-income response cases without an added macro stress. The 12.6-point uplift [NUM-14] is the first tested schedule covering all nine combined behavior and deliberately adverse macro-stress cases. The latter is a stress ceiling, not the baseline recommendation or a forecast.

Marginal rates apply only to taxable income within a bracket. The schedules do not specify thresholds, filing status, deductions, credits, payroll taxes, withholding, refunds, or other rules required to calculate anyone’s liability or effective rate.

6. Interpretation

The result’s main contribution is procedural. It makes non-admission visible, keeps heterogeneous financing rails separate, and requires uncertainty to remain attached to the recommendation. “Preferred” is a normative selection under Taxlane’s objective and assumptions, not a value-free command from the model.

The same discipline that blocks unsupported savings also blocks excessive claims for the rate result. Taxlane does not have authority to change statutes, appropriations, tax bases, eligibility, or implementation. The analysis is one- year, not a ten-year score or long-run solvency proof. Taxpayer, employer, preparer, avoidance, enforcement, and transition burdens remain incomplete. The bundled CPS tax-unit analysis does not by itself establish statutory incidence, employer shifting, family transitions, or geographic effects.

7. What would change the result

Each track carries an evidence-triggered reopening condition. Examples include a current-law score paired with complete beneficiary floors, an enacted and funded implementation path, an owner-attributed net payment-integrity effect, or a nonzero admitted debt path requiring interest recomputation. A change in the fiscal target, model version, behavioral assumptions, or policy objective would reopen the rate analysis.

Where a program creates reliance or legal commitments, reopening also requires a shortfall and service-continuity rule. “Adaptive” means analytically recomputable after those inputs change; it does not mean automatic rate changes without statutory and appropriations authority [CLM-13].

8. Conclusion

Taxlane’s current result is not that reform has ended. It is that analysis has a defined stopping rule. Every track has a reviewed disposition; unsupported amounts do not lower the revenue target; and the resulting recommendation remains visibly conditional. This provides a reproducible foundation for civic discussion without converting internal analysis into law, official scoring, or false certainty.

Evidence

1. data/derived/breadth_benchmark_matrix/fifteen_track_terminal_disposition.v1.draft.json
2. data/derived/breadth_benchmark_matrix/targeted_spending_rate_decision.v1.draft.json
3. data/derived/breadth_benchmark_matrix/rev_internal_rate_analysis_completion.v1.draft.json

4. data/derived/breadth_benchmark_matrix/pay_net_rev_post_fifteen_track_reconciliation.v1.dra
5. docs/explanation/foundation/claim-ledger.md
6. docs/explanation/foundation/number-ledger.md